NOTE 14- INCOME TAXES

The consolidated income tax expense (benefit) was as follows:

	2016	2015
Current benefit	$ (145,067)	$ (2,824)
Deferred expense (benefit)	224,185	(223,691)
Tax expense (benefit)	$ 79,118	$ (226,515)

A reconciliation of the difference between federal income tax expense and the amount computed by applying the statutory rate of 34% in 2016 and 2015 is as follows:

	2016	2015
Tax expense (benefit) at statutory rate	$ 73,282	$ (220,427)
Tax-exempt interest income	(474)	(10,994)
Other	6,310	4,906
Federal income tax expense (benefit)	$ 79,118	$ (226,515)

Despite the overall consolidated pre-tax income in 2016, there were temporary difference reversals related to foreclosed asset transactions and impaired loans which were recognized during the year. The net result was an increase to the Company's net operating loss carryforward which grew to $9.3 million at December 31, 2016 from $9.2 million at December 31, 2015. In spite of this occurrence, the net operating loss carryforward is expected to be fully utilized against future taxable income. The Company's net operating loss carryforward begins expiring in 2030 and continue through 2036.

NOTE 14- INCOME TAXES (Continued)

The net deferred tax asset includes the following amounts of deferred tax assets and liabilities as of December 31, 2016 and 2015:

	2016	2015
Deferred tax asset		
Allowance for loan losses	$ 66,047	$ 64,742
Non-accrual loans	779	59,279
Deferred loan costs, net	27,252	18,560
Derivative Valuation Adjustment	0	145,067
Unrealized loss on securities available for sale	11,529	14,834
AMT credit carryforward	85,822	85,822
Accrued Expenses (461h)	19,592	18,251
Foreclosed assets	862,459	989,662
Other	11,002	(16,625)
Net operating loss carryforward	3,172,378	3,104,264
	4,256,860	4,483,856
Deferred tax liabilities		
Depreciation	$ (185,863)	$ (208,821)
FHLB Stock Dividends	(6,769)	(6,769)
Prepaid expenses	(15,669)	(18,291)
Other	(15,884)	10,190
	(224,185)	(223,691)
Net deferred tax asset	$ 4,032,675	$ 4,260,165

The realization of deferred tax assets is largely dependent upon future taxable income, future reversals of existing taxable temporary differences and the ability to carryback losses to available tax years and carry-forward losses to future years. In assessing

the need for a valuation allowance, we consider all available positive and negative evidence, including taxable income in carry-back years and expected future taxable income.

Core earnings from banking operations in 2016 as well as the outlook for future earnings supported management's conclusion that no valuation allowance on the Company's net deferred tax asset was necessary at December 31, 2016.

There were no unrecognized tax benefits at December 31, 2016 or 2015 and the Company does not expect the total amount of unrecognized tax benefits to significantly increase or decrease in the next 12 months. The Company is subject to examinations of federal taxing authorities for years after 2012.